

Table 11.1 Identification Guidelines

Characteristic	Discussion
Appearance	Megaphone shape with higher highs and lower lows. Five-point reversals have three peaks and two troughs.
Price trend	The price trend leading to the formation should be up. Ignore any overshoot or undershoot within 2 weeks of the pattern's start.
Trendlines	Price is bounded by two trendlines: The top one slopes upward, and the bottom one slopes downward.
Touches	Should have at least five touches, three on one trendline and two on the other, but not necessarily alternating touches. Price passing through a trendline doesn't count as a touch.
Volume	Trends upward most often. Do not discard a pattern because of an adverse volume trend.
Breakout direction	The breakout can occur in either direction and, in several cases, price moves horizontally for several months before staging a definitive breakout.

Touches. There should be at least five touches of the trendlines: two on one trendline and three on the other, but be flexible. Five (or more) minor high or minor low touches makes for a well-formed pattern. Fewer touches than five often leads to incorrectly identified patterns.

Avoid counting it as a touch when price slices through a trendline (no minor high or low involved). That's common at the start and end of the broadening pattern. [Figure 11.3](#) shows an example of this on both ends of the bottom trendline. The trendline cuts through price and does not rest on a minor low, so it doesn't count as a touch.

Page back to [Figure 11.1](#). It shows three minor highs touching the top trendline and four minor lows either nearing or touching the bottom trendline. The minor highs and minor lows need not alternate as price crisscrosses the broadening pattern (but usually do).

Volume. Linear regression on volume shows it trending up most often. Many times, the volume pattern mimics the price pattern: rising and falling